

mostly agree with the EMTs. Stock prices, in most instances, do reflect the underlying fundamentals. Trying to figure out the variance between prices and underlying intrinsic value, for most businesses, is usually a waste of time. The market is mostly efficient. However, there is a huge difference between mostly and fully efficient. It is this critical gap that is responsible for Mr. Buffett not being a street corner bum.

Buffett's 1988 *Letter to Shareholders of Berkshire Hathaway* has a wonderful section on EMTs.⁵ I strongly recommend reading it. All the shareholders letters are archived on Berkshire Hathaway's web site and they are a treasure trove of wisdom. About EMTs, Buffett commented:

Observing correctly that the market was frequently efficient, [academics and Wall Street pros] went on to conclude incorrectly that it was always efficient. The difference between these propositions is night and day.⁶

—Warren Buffett

Markets aren't fully efficient because humans control its auction-driven pricing mechanism. Humans are subject to vacillating between extreme fear and extreme greed. When humans, as a group, are extremely fearful, the pricing of the underlying assets are likely to fall below intrinsic value; extreme greed is likely to lead to exuberant pricing.

If a business owner is extremely pessimistic and fearful about the future of his business and decides to sell it, it is likely to take him several months to get a sale consummated. In the meanwhile, the circumstances causing the fear may have abated or, more likely, rational thinking is likely to have prevailed over time. In the case of the stock market, an individual investor in the same doom-and-gloom mind-set would likely have unloaded his entire position in a few minutes. Hence, stock prices move around quite a bit more than the movement in underlying intrinsic value. Human psychology affects